

A Reality Check

But the severe bear run that had lasted fourteen months had brought about some changes that were hard to reverse. For one, even as share prices had risen sharply in the last four months, many stocks were a long way off from their giddy peaks of January 2008.

Second, the bear market had exposed the fragile business models of many companies, mostly those in the infrastructure and real estate sectors. Many of them would never regain the favour of institutional investors, even though bull operators would take a passing fancy to them once in a while.

From the perspective of the brokerage firms, the days of juicy commissions and brisk business from retail investors and HNIs had ended for the time being. Many clients had lost huge sums of money or had seen their paper profits shrink to alarmingly low levels. Many of them would not return to the market in a hurry, and some would never again have the courage to. The ones who stayed back reduced the size of their trades, biding their time till they felt safe enough to stake bigger sums.

The investors who had dabbled in stock and index futures, however, had been dealt the most devastating blow. The broking houses had led them to this. It was in the interest of the broking houses that clients traded in the more risky futures and not in the relatively safer options, the commissions on futures trades being several times higher than on options trades.

In 2007-08, as the bull market was raging, index and stock futures accounted for 87 per cent of the total turnover in the derivatives segment. The following year, the turnover in the derivatives segment declined by nearly 15 per cent, and futures turnover accounted for 64 per cent of this